

ogy and deep pockets. Berger has only grown since then,” he says, adding that his company bought the US-based Sherwin-Williams’ decorative paints business in 2013. This was seven years after the multinational had acquired Mumbai-based Nitco Paints. “The difference this time is that a host of Indian players are jumping in. We are seeing companies in cement and steel enter the paints segment,” says Roy.

Anand Kumar Jaiswal, Professor of Marketing at IIM-Ahmedabad, points at the entry of Birla Opus and says the dominant position of the parent in cement through UltraTech gives it a relationship with builders. “It complements the existing portfolio. For Pidilite, a presence in adhesives and a bond with the furniture industry make paints a logical extension,” he says. He says the company has a strong distribution network in B2B and B2C (through Fevicol). “For JSW Paints, it is a question of synergy with cement at the point of purchase,” he says.

Berger is gauging the situation without compromising on the long-term view of the business. “Our teams have become more efficient. The growth rates will remain intact. In fact, this phase gives us a chance to tighten the screws and become more efficient,” says Roy. Another significant development is the potential exit of AkzoNobel, the owner of the Dulux brand, from India at a price tag of around \$2 billion. Berger was in the race for the company. Roy says it dropped out because of the high valuation. “It must make sense to us. There is no hurry or worry from our end,” he says. A recent Nirmal Bang report says the challenger Opus “is largely targeting markets where Asian Paints is the leader.” These include Maharashtra, Gujarat and Tamil Nadu. North and East are Berger’s key markets, while Asian

Berger's BUSINESS Segments

DECORATIVE

- Interior + exterior paints
- Construction chemicals
- Express painting service
- Prolinks*

INDUSTRIAL

- Protection
- Automotive-general industrial coating
- Powder coating

*SOLUTION PROVIDER FOR PAINT-RELATED PROJECTS

Paints dominates in South and West of India. But there are interesting differences. Roy says Berger has a strong presence in Kerala, Vijayawada and Guntur in Andhra Pradesh, and Jalgaon in Maharashtra. “Again, within West Bengal, which is a stronghold, we are weak in Siliguri,” he says. The company is now focusing on the South and West. Roy talks about the need to work closely with dealers, builders and architects.

“There is a need to get the distribution right. We have interesting plans for South and West,” he adds.

Abhijeet Kundu, Senior Vice-President of Research at Antique Stock Broking, likes the strength of the Berger brand. “They have demonstrated consistent and steady growth for a long time. The potential for growth is far greater in their North and East strongholds than in the South and West,” he says. There is a marked difference in customer preferences between the regions. “The customers in South and West prefer more premium products while the North and East are more bargain-conscious,” says Ambi Parameswaran, Founder, *brand-building.com*.

Berger has in the recent past been associated with high-profile projects like the new Pamban bridge and the Chenab rail bridge. Pointing to his landline and the writing table, Roy says everything around us needs a coat of paint. “In developed markets in Europe, industrial paints account for around 50% share. There are enough opportunities in India.”

New Frontiers

In October 2019, Berger acquired a 95.53% stake in STPL, a Kolkata-based unlisted company, for ₹167.5 crore. STPL is into construction chemicals, concrete admixtures (a blend of chemical compounds added to concrete mix to improve performance), waterproofing chemicals, flooring compounds, bitumen and coal-based tar products. It was a small deal, but the strategic intent was clear. “In China, waterproofing and chemicals is larger than paints (in India, the size of the former is estimated to be around ₹20,000 crore). It was obvious that India would move in that direction, and we needed to be there with a good range of products,” says Roy. STPL